

Poverty lines



One way of measuring the degree of poverty in a society is to define a minimum level of income below which a person is said to be in poverty. One example of such a 'poverty line' is the often-cited dollar-a-day, but how should a poverty line be set? Economists are more concerned with well-being or 'utility' than with money itself, so one might try to define a line that delivers some basic level of utility, perhaps by using subjective measures of well-being. An alternative approach is to use a more objective criterion, such as a minimum calorie level.

An important distinction is between relative and absolute poverty: while an absolute line might be set according to a biological criterion, a relative measure is stated as a minimum proportion of average income. With a relative income line, there will always be some people living in poverty, even if they own televisions and mobile phones. Poverty lines have their

drawbacks, however: increased deprivation among those far below the poverty line doesn't register in a higher poverty rate.